economic impact of this demonetization can only be judged fairly with the passage of time.

This chapter analyses the data on the economic costs of the move both in the immediate short term (during the 50-day demonetization window) and in the medium term (18–20 months) post-demonetization. The latest data available as of August 2018 has been included in the analysis below.

Immediate Economic Impact

The immediate impact of the note ban, as anyone who experienced the shock on that day would attest, was to bring practically all economic activity in the nation to a halt. The first few days after the announcement were completely chaotic as consumers, households and businesses scrambled to get cash. Though the situation stabilized slightly in the weeks that followed, the monetary cost to the economy rose sharply.

The Centre for Monitoring Indian Economy (CMIE)[1] estimated the cost of demonetization during the cash exchange window – the 50 days between 8 November and 30 December 2016 – to be in the region of ₹1,28,400 crore (₹1.284 trillion), as shown in Table 1 below:

Table 1: Short-term Cost of Demonetization

Loss by	₹Crores	Rationale
Business	61,500	Consumption Exp. of Households = 31 lakh crore p.a. Reduction in Discretionary Consumption = 50 per cent Impact of 50 days lower sales = 61,500 crore
Banks	35,100	Cost of recalibration of ATMs Overtime salary to bank employees Other expenses related to collection and counting notes
RBI	16,800	Costs of printing and transporting new notes Costs of counting and destroying old notes
Households	15,000	Lost wages for standing in queues to change notes